Declining Fertility and Housing Costs

Tommaso De Santo*

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Abstract

Housing costs are at the center of the public debate on declining fertility. Children need space, and young households, who have little savings, find family space costly to pay for. In this paper, I study how the cost of family space shapes fertility and what housing policy can do about it. I build a life-cycle model in which households choose whether to have children, whether to rent or own, how much space to occupy and how much to save, under uninsurable earnings risk and a down-payment constraint. House prices and rents are determined in equilibrium, and births today determine the number of households that compete for housing a generation later. I calibrate the model to the United States in 2007 and study the transition that follows the decline in fertility. Easier access to mortgage credit mostly changes the timing of births. Policies that lower the cost of family space in every period, such as expanding the housing supply, or that make the commitment a child entails safer, such as reducing earnings risk, raise completed fertility.

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